

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 23-04

PORTS AMERICA CHESAPEAKE, LLC,

and

MARINE TERMINALS CORPORATION-EAST

COMPLAINANT,

v.

APS EAST COAST, INC.

RESPONDENT.

**RESPONDENT’S MOTION FOR LEAVE TO FILE ITS SUR-REPLY, OR IN THE
ALTERNATIVE, TO STRIKE COMPLAINANTS’ SUPPLEMENTAL APPENDIX AND
ADDITIONAL ARGUMENTS**

Pursuant to 46 CFR §502.69, §502.71, and §502.66, Respondent APS East Coast, Inc. hereby requests leave to file a Sur-Reply to Complainants’ Reply Brief. Complainant’s Reply Brief has introduced additional evidentiary submissions and raised new matters beyond the scope of Complainant’s Brief and Respondent’s Brief; as a consequence, Respondent has not had the opportunity to address such newly-proffered evidence or newly-raised matters in its Opposition Brief.

In the alternative, Respondent moves to strike the new material contained in Complainants’ Supplemental Appendix and the additional arguments regarding the alleged loss

of business dependent upon the newly submitted materials, as well as the newly-raised arguments on the issues of alleged retaliation and business judgement deference.

I. INTRODUCTION

Complainants Ports America Chesapeake, LLC (hereafter referred to as “PAC”), and Marine Terminals Corporation-East (hereafter referred to as “MTCE”, collectively with PAC hereafter referred to as “Ports America” or “Complainants”), in connection with their Reply Brief filed with the Secretary on August 6, 2024, submitted nearly 300 pages of additional documentation in an apparent effort to bolster Ports America’s damages arguments. As a consequence of Complainants’ late submission of those materials, Respondent APS East Coast Inc. (“APS” or “Respondent”), has not had an opportunity to address those newly-submitted supplementary materials and Complainants’ newly-raised arguments in its Opposition Brief.

II. APPLICABLE STANDARDS

A. Non-dispositive Motions

Under the Federal Maritime Commission (“FMC”) Rules, 46 C.F.R. §502.69(a), since a Motion for Leave to File a Sur-Reply, or in the Alternative a Motion to Strike, is not specifically provided for, the requested ruling must be by motion. As described under 46 C.F.R. §502.69(g), a Motion for Leave to File a Sur-Reply, or in the Alternative a Motion to Strike is a non-dispositive motion and litigants may bring such motions, with the corresponding procedure laid out in 46 C.F.R. §502.71.

With respect to the duty to confer under 46 C.F.R. §502.71(a), the undersigned attorney certifies that counsel for Respondent and counsel for Complainants met and conferred in good faith on August 26th and 27th, 2024 regarding the subject Motion.

B. Supplemental Briefing

Under 46 C.F.R. §502.216, parties wishing to supplement the record after their presentation in a proceeding but before issuance by the presiding officer of an initial decision must file a motion requesting leave to do so, in accordance with 46 C.F.R. §502.69.

Further, under 46 C.F.R. §502.66(a), supplements to any pleading will be permitted or rejected, either in the discretion of the Commission or presiding officer; however, no amendment will be allowed that would broaden the issues, without providing an opportunity to the other party to reply to such amended pleading and to prepare for the broadened issues.

III. DISCUSSION

A. Basis for granting leave to file a Sur-Reply

On August 6, 2024, Complainants submitted their Confidential Reply Brief with a link to a Supplemental Appendix but which did not contain supplemental materials. On August 8, 2024, Complainants' provided an updated attachment with the Supplemental Appendix materials. That updated attachment contained approximately 300 pages of additional material. Complainants' untimely proffer of the newly submitted materials – made only after Respondent had filed its Brief – sought to deny Respondent the opportunity to comment on and respond to those newly submitted documents, and denies this Administrative Law Judge the benefit of a fully-briefed discussion regarding those materials.

1. Complainants' failure to comply with the applicable Rules

Under Commission Rule 216 (46 C.F.R. §502.216), if a party wishes to supplement the record after the party's presentation in a proceeding, the party must file a motion to do so. Complainants have not done so in this proceeding.

Rather, Complainants have attempted to inappropriately supplement the record with a large volume of confidential materials, well after submission of their Brief, and after Respondent's Brief. They seek to rely upon those newly provided materials in connection with newly-raised arguments in their Reply. Clearly; having recognized that they failed to provide an adequate basis for the damages they seek, as set out in Respondent's Brief, Complainants now seek to take a second bite at the apple by supplementing the record with what appear to be unauthenticated, unattributed, and unexplained documents they plainly intend to use a basis for the calculation of potential damages – notwithstanding that the materials do not appear to provide evidence of any actual, cognizable damages.

As result of their untimely surprise confidential document dump and their corresponding new arguments, Complainants seek to deny Respondent the due process right to respond to the new submissions and arguments in attempted support of their ill-founded claims for damages.

2. The submission with regard to loss of business damages is moot due to the *Jarkesy* case

The newly submitted materials and newly raised arguments with regard to damages should be moot as a result of the recent decision of the United States Supreme Court in *Sec. & Exch. Comm'n v. Jarkesy*, 144 S. Ct. 2117, 2129 (2024), which held that the award of punitive damages and the resolution of claims arising under the common law can only be had through a proceeding in an Article III court, with the attendant right to a jury trial under the Seventh Amendment to the U.S. Constitution. However, in light of the submission, Respondent has a due process right to address why the newly submitted materials are not relevant or reliable.

3. Complainants' Reply includes various misrepresentations that require correction

In addition, while the impact of the *Jarkesy* case on Complainant's request for damages for loss of business, as previously articulated prior to the submission of the new materials, was

addressed in Respondent's Brief and largely overlooked in Complainants' Reply, Complainants' new submission misrepresents Respondent's reference to that case as a "concession" by Respondent that its practices are unreasonable. Such a misrepresentation goes beyond mere advocacy. Complainants' statement is patently false, and Respondents have a due process right to not only address Complainants' newly-raised arguments, but also to clarify its position in the face of such misrepresentation.

Complainants' Reply includes a number of similar misrepresentations of Respondent's arguments, which equally go beyond the scope of advocacy into the realm of misleading assertions. Respondent seeks the right to set the record straight, so that the issues presented in this matter may be clearly detailed.

4. Complainants' Reply seeks to raise new arguments with regard to damages based on the newly-submitted materials

Complainants seek to use the newly provided supplementary materials in an effort to support newly raised arguments on the issue of damages in its Reply, as well as newly raised arguments on the issues of alleged retaliation and business judgement deference. Due process requires that Respondents be given the opportunity to respond to the expansion of Complainants' argument, in particular to address the ongoing lack of evidence of causation of the alleged damages, notwithstanding the late submission of various rate sheets.

5. Complainants' Reply seeks to raise other new arguments beyond the scope of the Complaint and prior Briefs

In addition to the new damage arguments, Complainants have expanded their arguments to include issues not raised previously in either the Complaint, Complainants' Brief, or Respondent's Brief, including alleged retaliation threats and arguments against business judgement deference for Respondent's decisions. Respondent has a due process right to respond to such newly-raised issues.

B. Alternative request to strike

As an alternative to the request to file a sur-reply, Respondents request that Complainants' supplementary materials and its expanded arguments in connection with those above-mentioned topics be stricken pursuant to Rule 216 for failure to have requested leave to supplement the record, and pursuant to Rule 66, which requires that any submission that would broaden the issues requires the permission of the presiding officer, and is not to be permitted without granting the opposing party to reply to, and prepare for, the broadened issues.

IV. CONCLUSION

For the foregoing reasons, and pursuant to 46 CFR §502.69, §502.71, and §502.66, Respondent respectfully moves for an Order permitting Respondents an opportunity file a Sur-Reply, attached herewith, on the broadened issue of damages in light of the supplemental materials and arguments submitted by Complainants' and for which Commission rules require an opportunity to reply to the broadened issues.

In the alternative, Respondents respectfully request that Complainants' supplementary materials and its arguments in connection with alleged retaliation, business judgement deference, and alleged loss of business in its Reply be stricken, and the granting of all such other and further relief as may be just and proper.

Dated: August 30, 2024

Respectfully Submitted,

By: **/s/ Peter F. Black**

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CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document by electronic mail upon the following persons/addresses:

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Dated: August 30, 2024

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